



Project Information Document (PID)

Concept Stage | Date Prepared/Updated: 06-Jan-2021 | Report No: PIDISDSC30379

**BASIC INFORMATION****A. Basic Project Data**

Country Senegal	Project ID P174759	Parent Project ID (if any)	Project Name Affordable Housing Program in Senegal (P174759)
Region AFRICA WEST	Estimated Appraisal Date Feb 01, 2021	Estimated Board Date Apr 13, 2021	Practice Area (Lead) Finance, Competitiveness and Innovation
Financing Instrument Investment Project Financing	Borrower(s) Ministry of Finance	Implementing Agency Ministry of Urban Development	

Proposed Development Objective(s)

To improve access to affordable housing.

PROJECT FINANCING DATA (US\$, Millions)**SUMMARY**

Total Project Cost	315.00
Total Financing	100.00
of which IBRD/IDA	100.00
Financing Gap	215.00

DETAILS**World Bank Group Financing**

International Development Association (IDA)	100.00
IDA Credit	100.00

Environmental and Social Risk Classification
High

Concept Review Decision
Track II-The review did authorize the preparation to continue



B. Introduction and Context

Country Context

Fiscal pressures have been aggravated by the COVID-19 crisis while growth is expected to be negative at -0.7 percent in 2020 as lower exports and remittances subdue private consumption. The fiscal deficit widened to 3.8 percent in 2019. By May 2020, crisis related expenditures and lower revenues pushed the deficit to 5.9 percent of GDP, compared to 3.9 percent by May 2019. Public debt increased to 63.8 percent in 2019, driven by hydrocarbon investment, below the line operations, and SOE debt. Public debt in 2020 should increase to close to 70 percent of GDP. GDP per capita should contract by 3.3 percent. As uncertainty affects capital allocation, investment will slow in 2020, but should increasingly drive growth in the medium term. In this context, it is crucial for Senegal to find innovative ways to support its growth, (re) create more jobs and give hope to its people.

The Presidential 100,000 Affordable Housing Program (100k AHP) is one of the main economic and social responses of the Government to the COVID19 crisis. According to the GoS, this program should generate 632,000 jobs (i.e. 127,000 jobs per year on average) although there is some uncertainty with these estimates. For each plot of land allocated by the government to the program (including a FCFA 1 million investment from the state in the form of land servicing and subsidiaries), the private sector will contribute between FCFA 7.5 and 8 million. The 100k AHP will also contribute over 5 years to considerably reducing the quantitative and quality gap of affordable housing in the country.

Sectoral and Institutional Context

A large and widening housing gap persists. According to the GoS (data recently confirmed by a Deep Dive study conducted by OnPoint Consulting and commissioned by IFC), the housing deficit is estimated to be around 320,000 units for the whole of Senegal and 158,000 for Dakar. This gap increases by 12,000 housing units per year on average. This backlog is a consequence of a rapid urbanization and an insufficient supply due to constraints, including limited availability of serviced land, limited availability of relevant financial products for developers and buyers, and high construction costs. Therefore, informal settlements persist and account for 25 percent of urban spaces in Senegal and 30 percent of inhabited areas in Dakar. In addition, the large majority of Dakar's inhabitants is housed through informal rental solutions, short of accessing mortgage loans.

Key constraints for the development of services and real estate sectors are many. Despite a high potential demand for housing, very few new units are built by developers every year. The sector constraints include: i) institutional gap and poor planning policies, ii) outdated land administration and low capacity, iii) low financial sector capacity for mortgages (banks and microfinance institutions), iv) low housing supply capacity, and v) high housing production costs.

Relationship to CPF

The proposed operation is closely linked to the World Bank Group (WBG) strategic goals, the 2020-2024 Country Partnership Framework (CPF) and the 2020 Country Private Sector Diagnostic (CPSD). The operation is closely aligned with the recent CPSD which clearly emphasizes real estate and housing as key sectors to unlock large private sector investments in order to create jobs and promote sustainable economic growth. The operation is also aligned with the



four drivers of the CPF, namely: i) the focus on building institutional capacity to promote timely and successful implementation and optimal impact, ii) the systematic and deliberate implementation of the cascade principle through the mobilization, whenever it is possible, of private capital to fund development challenges (an approach that intends to fully leverage IFC's 3.0 strategy for Senegal. Lastly, through providing people with access to decent and affordable housing, the operation is aligned with one of the targets under the Sustainable Development Goal 11, which focuses on making cities sustainable.

C. Proposed Development Objective(s)

The proposed PDO is to improve access to affordable housing.

The project is proposed as an Investment Project Financing with Performance-Based Conditions (IPF-PBC) that will disburse against eligible expenditures upon the achievement of Performance-Based Conditions. It will finance direct expenditures procured under activities supporting the supply and the demand of affordable housing units and directly aiming at achieving results crucial to the achievement of the PDO. The PBCs will be designed to ensure higher project development objectives. They will incentivize good governance, institutional building and coordination reforms while increasing private participation both on the supply and the demand side of the housing market. The total Government project cost is estimated at US\$315 million. The IPF-PBC will contribute in the amount of US\$100 million through an IDA loan to the Republic of Sénégal. The percentage of results-based financing of the total IDA financing is expected to be approximately 50 percent and will be confirmed during project preparation. The project is proposed for a five years period.

Key Results

The project's PDO-level performance indicators are: i) Number of households accessing affordable housing units, of which female-headed households (percent), of which irregular-income households (percent); ii) Number of affordable housing units built by private sector developers, of which certified "green" (percent); and iii) Credit Guarantee Leverage Ratio for affordable housing (volume of banks and MFIs mortgages / capitalization of the partial credit guarantee fund).

Intermediate-level results indicators would be:

- Number of ha of fully serviced land dedicated to the 100k AHP, of which serviced by the SAFRU, of which % outside the economic pole of Dakar-Thies-Mbour;
- Share of serviced land produced by SAFRU sold at market value;
- Processing time of land titles for household beneficiaries;
- Establishment and functioning Audit and M&E Departments/Units within FHS, SAFRU and FONGIP;
- Establishment and functioning of institutional coordination mechanisms (including the establishment and functioning of a housing One-Stop-Shop)
- Number of affordable housing mortgage loans guaranteed by the partial credit guarantee scheme;
- Number of rent-to-own units for low-income households;
- Percentage of increase of local production of building material.

Project's Performance-Based Conditions. A portion of the Bank financing of \$100 million (exact share to be determined during preparation) is expected to be disbursed against completion of PBCs (see section on components for the articulation between components and PBCs). In addition, a portion of the Bank financing will finance technical assistance



and capacity building activities. The contemplated PBCs would be:

- PBC 1 – Production of fully serviced land and its transparent allocation to developers.
- PBC 2 - Percentage of housing units built by private sector developers.
- PBC 3 - Processing time of land titles for household beneficiaries.
- PBC 4 - Leverage ratio of the guarantee fund.
- PBC 5 – Private sector co-investment ratio on the rent-to-own program.
- PBC 6 – Private sector co-investment ratio in firms specialized in building material.
- Possible complementary condition on the credit subsidies.

D. Concept Description

Component 1: Increased private sector participation on the supply side

Sub-component 1.1. The focus of this sub-component will be to (a) produce land that is fully serviced for urban use, including education and health services, water and electricity, sanitation and flood management, as well as affordable transport solutions, and possibly public spaces and green spaces, and (b) establish SAFRU with efficient governance and operational instruments to plan and manage large urban operations and achieve financial sustainability. The project will pay for i) the capitalization of the SAFRU, ii) the servicing (cost sharing) of 900 ha of land (at 20% IDA co-financing), and iii) capacity building activities for SAFRU, including TA and training. Three PBCs (see section on PBCs) will incentive the maximization of these public funds.

Sub-component 1.2. This subcomponent will finance all the expenditures related to the establishment and improvement of the coordination and oversight mechanisms needed to make the program work in an efficient manner (incl. Housing One Stop Shop). This includes i) the establishment of an Housing One-Stop-Shop (which will ensure the coordination between the MoUD and the MoF on topics related to land and tax exemptions for eligible developers), ii) the improvement of administrative activities related to land subdivisions, construction permits and land titles (including TA and MIS), iii) the formulation of a strategy for the integration of green building practices in the AHP, iv) the preparation of Conventions and MoUs between FONFIS, FONGIP, the banks, the MFIs, the MoF, the MoUD, FHS and SAFRU and v) the support to the establishment of Audit Committees and M&E departments (within FHS, SAFRU and FONGIP). During mission preparation, the team will precisely identify the main expenditures to be covered by this sub-component.

Component 2: Increased Private Sector Participation on the demand side

Sub-component 2.1. The project will pay for the capitalization of two dedicated government funds managed by FONGIP: one fund to guarantee banking and MFI loans benefiting households accessing low-cost housing units and one fund to guarantee banking and MFI loans benefiting households with irregular revenues and accessing low-cost housing units. Part of the expenditure could be allocated to procure Management and Information Systems, trainings (risk management, audit) and Risk Management systems (scoring systems). A PBC (see section on PBCs) will incentive the maximization of these public funds.

Sub-component 2.2. The project will finance the capitalization of an investment fund managed by FONSIS. This fund will co-invest with the private sector in rent-to-own units benefiting, in part, households with limited or no access to credit. A PBC (see section on PBCs) will incentive the maximization of this public fund.

Sub-component 2.3. The project will finance the capitalization of an investment fund managed by FONSIS. This fund will co-invest with the private sector in private firms of the real estate value chain to accelerate their growth and increase



the production of building materials. A PBC (see section on PBCs) will incentive the maximization of this public fund.

Component 3: Project Management, E&S, and Communication

The objective of this component is to ensure effective project implementation, proper E&S risk management, monitoring of activities, and final project evaluation. The component will finance goods, consulting and non-consulting services, training, and operating costs to the Project Implementing Units (PCUs) for expenditures related to project activities, including: (a) project coordination and management; (b) compliance with environmental and social safeguards; (c) monitoring, evaluation, and impact assessment; (d) data collection; (e) fiduciary administration, accounting, and financial and technical audits; (f) stakeholder and citizens' engagement mechanism, including a grievance redress mechanism; and (g) communication. Under (b), the component will finance the preparation of a strategy for inclusion and consultation of local populations impacted by the land acquisition process, which will be part of the Resettlement Framework. The strategy will identify possible benefits of the urban development operations for the populations and propose solutions for livelihood restoration.

Legal Operational Policies	Triggered?
Projects on International Waterways OP 7.50	No
Projects in Disputed Areas OP 7.60	No
Summary of Screening of Environmental and Social Risks and Impacts	

Environmental Risk Rating: Substantial

Overall, the project will have positive environmental and social impacts by: i) improving access to affordable housing; (ii) improving living conditions, resilience and the health and safety of the population with new housing; and iii) integrating the concept of "green buildings" into the program. However, the project's environmental risk has been determined to be Substantial under the ESF, responding to potential environmental risks and impacts stemming from interventions under the activities of Sub-component 1.1: Land Servicing Investments for Affordable Housing Units. The main environmental risks associated with the realization of AHP units may come from inappropriate development in unsuitable non-aedificandi ("not to build") zones; they may also include poor building design (including poor ability to withstand natural disasters) and inadequate construction (to deal with climate change issues). Some of these risks can result in the damage or injury and safety concerns for residents. There are legal and reputational risks for the financial institution arising from ownership of properties in cases of land contamination or other environmental and social liabilities.

Social Risk Rating: High

The social risk of the project is High for the following reasons: a) The project will generate massive land acquisition, mostly in rural and peri-urban areas, with possible large displacement of people and economic activities. Prior experience for similar operation in Diamniadio, conducted by the Government, used government standards and has shown a gap with World Bank standards in terms of consultation, compensation levels and grievance redress mechanism. The government started the process of land acquisition in Daga Kholpa using the same national standards, which was still ongoing in November 2020; b) In addition, civil works will require a large labor force (local, national, or international), with associated risks of labor influx, sexual exploitation and abuse and/or sexual



harassment (SEA/SH) and other social conflicts with the local population while contractors bidding for housing construction works, could also have limited ability to set up systems in accordance with World Bank standards for labor management and working conditions; c) Mechanisms for managing complaints and redressing grievances have not yet been established by any of the implementing agencies and d) a Project Implementation Unit (PIU) has not yet been set up.

CONTACT POINT

World Bank

Laurent Gonnet, Alexandra Le Courtois
Lead Financial Sector Specialist

Borrower/Client/Recipient

Ministry of Finance

Implementing Agencies

Ministry of Urban Development
Amadou Thiam
Directeur General
thiaming1@gmail.com

FOR MORE INFORMATION CONTACT

The World Bank
1818 H Street, NW
Washington, D.C. 20433
Telephone: (202) 473-1000
Web: <http://www.worldbank.org/projects>

APPROVAL

Task Team Leader(s):

Laurent Gonnet, Alexandra Le Courtois



Approved By

APPROVED BY

Country Director:	Luc Lecuit	06-Jan-2021
-------------------	------------	-------------